



FINANCIAL SERVICES

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RIGHT ON THE MONEY

The proposals seek to spur capital expenditure, boost credit growth and recovery, grow savings and curb black money

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THE FINANCE MINISTER has presented a realistic budget which is pro-growth and focuses on several sections of the economy and country. The Budget was presented with a clear tone of optimism about the Indian economy, setting out the key focus areas of this government — health, housing, skilling, education, agricultural productivity, connectivity and manufacturing. Eschewing the demand for fiscal consolidation, a fiscal stimulus to kick-start the economy has been provided. This has been done by increasing expenditure, primarily on infrastructure. Capital expenditure has been increased by 25 per cent, which itself is handsome, but the real increase in spend for capital purposes could be higher. Innovative means have been devised to fund the infra sector, including an infrastructure fund that has

been allocated Rs 20,000 crore. This fund can leverage and provide equity to infra financing entities, and, therefore, the impact can be meaningful for the sector. The concept of plug and play projects is equally interesting and should gain traction. The government has chosen to set up MUDRA bank with Rs 20,000 crore of seed capital in order to make it easier to raise money for micro enterprises. As the finance minister said, banking the unbanked and funding the unfunded are the key planks of this government's focus.

The financial sector seems to have received a fair amount of attention in the Budget. The proposal to bring in a comprehensive bankruptcy code and allowing non-banking financial companies (NBFC) access to Sarfasei will help credit growth and recovery. The NBFCs have evolved as important financial intermediaries, particularly for the small-scale and retail sectors. As per the Survey, NBFCs as a whole accounted for 13.1 per cent of bank assets as on 31 March 2014.

There is a focus on growing financial savings through monetisation of gold (which also reduces the pressure on imports) and by enabling real estate investment trusts (REIT). Both these measures should bring in more money from physical assets into financial assets. Similarly, the move to bring more cash into the formal system by targeting black money and incentivising the use of debit cards as opposed to cash should also help the formal financial system. Besides, the increased scope of direct benefit transfers through utilisation of the JAM trinity — Jan Dhan Yojana, Aadhaar and mobile numbers — will lead